

**BAKER
HUGHES**

Rpt Date 01/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)							
Job# 1		Spud Date 09/Nov/2006			MD 817.00 m			Progress 0.00 m		Present Activity Wait						
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan							
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN							
Drilling Assembly						Casing		Volumes	Pump Information							
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		Baker		Baker Hughes			19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			36	31 3/4	262.00	562.7	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	20	18 3/4	291.60	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
7 15/16	2 3/4	9.02	5	4.276	512.76	13 3/8	12.415	800.00	185							
7 13/16	2 13/16	63.93	5	3	158.56		12 1/4	817.00	Tot Active							
8	2 3/4	18.27							747.7	Circulation Times						
									In Storage	Surface to Bit		min/stks		Total System		min/stks
									58	Bottoms Up		min/stks				
Mud Properties						Max Ann Velocity			Hole Information							
Property			Fluid Spec		1	2	3	AV Riser	ft/min	Standpipe Pressure		psi	Water Depth		146.00 m	
Sample From					Active Pit			AV Casing	ft/min	Hole Flow		USgal/min	Riser Booster Rate		USgal/min	
Check Time					22:00			AV Open Hole	ft/min	Solids Analysis						
MD m					817.00			Vc Open Hole	ft/min	Property		1	2		3	4
TVD m					817.00			Vc Drill Pipe	ft/min	LGS %		7.15				
Bit Depth m					779.00			Min Ann Velocity		LGS lb/bbl		65.16				
Density ppg			10.00-10.50		10.00			AV Riser	ft/min	HGS %		4.00				
Funnel Visc. sec/quart					83.0			AV Casing	ft/min	HGS lb/bbl		58.82				
Test Temp degF					120.0			AV Open Hole	ft/min	Avg Dens Sol sg		3.1736				
Rheol Temp degF					120.0			Bit Information								
PV cP					38			Size	12 1/4 in							
YP lbf/100ft^2					21			Hours On Bit								
10sec Gel lbf/100ft^2					12			Bit Number								
10min Gel lbf/100ft^2					21			BHA Number	4	Rheology						
HTHP Filtrate cc					4.0			Depth In	m	600 RPM		97				
HTHP Cake in/32					2.0			Bit RPM		300 RPM		59				
HTHP Temp degF					250.0			WOB	klbf	200 RPM		42				
HTHP Pressure psi					500			Nozzles	8x18	100 RPM		34				
Retort Water %					32.0			Bit Hydraulics		6 RPM		14				
Retort Base Fluid %					55.0			TFA	1.9880 in^2	3 RPM		14				
Retort Solids %					13.0			Nozzle Vel	ft/sec							
Corrected Solids %					11.1			Bit Press Loss	psi							
Oil:Water Ratio					63:37			HHP / Area	HP/in^2	Hydraulic Analysis						
Alk (Whole Mud-POM) cc/cc					2.00			HHP	%	Behavior Index (n)						
Cl (Whole Mud-Clom) cc/cc					47000					Consistency Index (k)						
Ca (Whole Mud-Caom) cc/cc					0					#sec^n/100ft^2						
Excess Lime lb/bbl					2.6					ECD @ Bit Depth						
										ECD @ Casing Shoe						
Brine Density sg					1.16			Fluid Comments/ Recommendations								
NaCl % wt					0			Circulated btms-up on two occasions during tour.								
CaCl2 % wt					19											
Elect. Stab.V					365.0											
Sand %					0.20											

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN
Solids Control Equipment									
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments		
CENTRIFUGE	1		0.0		0.0	0.0			
CENTRIFUGE	2		0.0		0.0	0.0			
DESANDER	1		0.0		0.0	0.0			
DESILTER	1		0.0		0.0	0.0			
MUD CLEANER	1		0.0	175, 210	0.0	0.0			
SHALE SHAKER	1		0.0		0.0	0.0			
SHALE SHAKER	1		0.0	3 x 175	0.0	0.0			
SHALE SHAKER	2		0.0		0.0	0.0			
SHALE SHAKER	2		0.0	3 x 110	0.0	0.0			
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0			
SHALE SHAKER	3		0.0		0.0	0.0			
				Total Volume Lost	0	0			
Volumes									
Additions bbl			Losses bbl			Total Volumes bbl			
Mud Added	Weight Materials		Downhole	Left In Pit		Starting Volume	805.8	Riser w/o Pipe	209.1
Brine	Water		Cased Off	Trip Losses		Daily Additions		Casing w/o Pipe	383.2
Base Fluid	Product		Left In Hole	Injected		Daily Losses		Open Hole w/o Pipe	8.1
Recycled	Other		Discharged	Spill To Environment		Ending Volume	805.8	String Displacement	37.6
			SCE	Onshore Disposal		Net Change		String Capacity	37.2
			Evaporation	Returned				Total Hole w/ Pipe	562.7
			Other Losses					Total Active	747.7
								Total Reserve	58.0
IADC Hours									
Drilling Formation			0	Tripping		0	Circulate		1
BHDF Fluids Rep		BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Jerry Laydoo / Ayo Okomayin		234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	1350.00 USD	215005.35 USD	585092.50 USD	
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.									

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN				
Primary Currency USD					Secondary Currency					Totals USD				
Daily Product Cost 0.00					Daily Product Cost 0.00					Primary Product 184799.10				
Daily Tax 0.00					Daily Tax 0.00					Secondary Product 0.00				
Debit/Credit 0.00					Debit/Credit 0.00					Primary Engineering 30206.25				
Daily Engineering Cost 1350.00					Daily Engineering Cost					Secondary Engineering 0.00				
Total Daily Cost 1350.00					Total Daily Cost 0.00					Primary Total 215005.35				
Total Inventory Value 585092.50					Total Inventory Value 0.00					Secondary Total 0.00				
					Deck Load					755008 lb				
Products and Services														
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk														
MIL-BAR		1000 kg	145					145		540.00		88.87	103.97	
Oil Based Product														
CARBO-GEL		25 kg	80					80		264.28				
MIL-LIME		25 kg								34.25		2.21	0.80	
MIL-LIME		25 kg	80					80		34.25				
OMNI-COTE		55 USgal	4					4		2150.00				
OMNI-MUL		55 USgal	16					16		995.06		1.71	0.61	
OMNI-PLEX		55 USgal	10					10		1618.95		0.85	0.31	
OMNI-TEC		55 USgal	14					14		925.00		0.90	0.32	
PARA-TEQ		1 bbl	1315					1315		280.00				
Water Based Product														
CAUSTIC SODA		25 kg	32					32		37.89				
MIL-GUAR		25 kg	50					50		135.00		0.57	0.66	
MIL-PAC R		25 kg								155.00		0.33	0.38	
MIL-PAC LV		25 kg								155.00		1.85	2.17	
NEW-DRILL PLUS		25 kg								110.66		1.07	1.26	
POTASSIUM CHLORIDE BRINE		1 bbl								46.85		217.77	254.77	
SODA ASH		50 kg								146.80		0.87	1.02	
SOLUFLAKE		25 kg	80					80		57.24				
Xanthan Gum		25 kg	40					40		345.22		0.97	1.14	
XCIDE 102		55 USgal	1					1		2508.30		0.01	0.01	
LCM														
CALCIUM CARBONATE - FINE		25 kg								22.68		3.70	4.33	
CALCIUM CARBONATE - FINE		25 kg	160					160		22.68				
CALCIUM CARBONATE - MED		25 kg	120					120		22.68		1.85	2.17	
KWIKSEAL - MEDIUM		25 kg	35					35		70.52				
MIL-PLUG FINE		25 kg	56					56		27.01				
Other														
BLACK MAGIC SF T		25 kg	120					120		117.25				
CALCIUM CHLORIDE (97%)		25 kg	320					320		23.21		2.21	0.80	
SAW DUST		25 kg	29					29		12.50				
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator		Daily Cost	Cumulative Cost	Inventory Value	Page 3		
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